

Financial Literacy

Volume 2 — Credit Scores, Debt Management & Long-Term Financial Planning

5. Understanding Credit Scores

A credit score is a three-digit number (typically 300–850) that represents your creditworthiness — how likely you are to repay borrowed money based on your financial history. Lenders, landlords, and even some employers use this score to evaluate financial risk. A higher score unlocks lower interest rates, better loan terms, and greater financial flexibility.

FICO Score Breakdown — What Affects Your Score:

Factor	Weight	What It Measures
Payment History	35%	On-time vs. late/missed payments — the most critical factor
Credit Utilization	30%	How much of your credit limit you are using (keep below 30%)
Length of Credit History	15%	Average age of all accounts; older = better
Credit Mix	10%	Variety of credit types (cards, installment loans, mortgage)
New Credit Inquiries	10%	Recent applications for new credit (each inquiry slightly reduces score)

Credit Score Ranges:

Score Range	Rating	Impact
800–850	Exceptional	Best rates; easiest approvals
740–799	Very Good	Above-average rates
670–739	Good	Near-prime rates; most approvals
580–669	Fair	Higher rates; limited options
Below 580	Poor	Likely denials; very high rates

Quick Win: The fastest way to improve your credit score is to pay all bills on time (even minimum payments) and reduce credit card balances below 30% of your limit. These two actions alone can raise a score by 50–100 points within 6 months.

6. Debt Management Strategies

Not all debt is equal. High-interest consumer debt (credit cards, payday loans) destroys wealth rapidly. Low-interest debt (mortgages, student loans) can be manageable or even beneficial if used strategically. The goal is to aggressively eliminate high-interest debt while maintaining minimum payments on low-interest obligations.

Two Main Debt Payoff Methods:

Debt Avalanche Method (Mathematically Optimal): List all debts by interest rate from highest to lowest. Pay minimums on all debts, then direct every extra dollar toward the highest-interest debt first. Once it is paid off, roll that payment into the next highest-interest debt. This method saves the most money in interest over time.

Debt Snowball Method (Psychologically Powerful): List all debts from smallest balance to largest, regardless of interest rate. Pay minimums on all, then direct extra payments to the smallest balance first. Each paid-off debt creates a motivational 'win' that builds momentum to tackle larger debts. Recommended for people who struggle with motivation when dealing with debt.

Rule of Thumb: If your investment return rate exceeds the debt interest rate (e.g., 7% investment returns vs. 4% mortgage rate), it may be mathematically better to invest rather than aggressively pay down low-interest debt. For high-interest debt above 7%, always prioritize payoff before investing.

7. Long-Term Financial Planning

Long-term financial planning involves setting goals for major life milestones and creating strategies to achieve them over years or decades. Key areas include retirement planning, insurance, estate planning, and tax optimization.

The Financial Planning Pyramid:

- Foundation (Base): Emergency fund, adequate insurance (health, life, disability) — protect against catastrophic loss first.
- Middle Layer: Debt elimination, homeownership, children's education fund — build stability and reduce obligations.
- Upper Middle: Retirement savings (401k, IRA, pension), diversified investment portfolio — build long-term wealth.
- Top: Wealth optimization — tax minimization, estate planning, business ownership, alternative investments.

8. Key Financial Milestones by Age

Age / Stage	Financial Milestone to Achieve
By Age 25	Start retirement contributions, build \$1,000 starter emergency fund, no high-interest debt
By Age 30	3–6 month emergency fund, net worth = 1x annual salary, actively investing
By Age 35	Net worth = 2x annual salary, no consumer debt, home purchase if desired
By Age 40	Net worth = 3x annual salary, retirement on track, life insurance in place
By Age 50	Net worth = 6x annual salary, college funding complete, accelerating retirement savings
By Age 60	Net worth = 8–10x annual salary, healthcare plan established, debt-free

Remember: These are general benchmarks, not rigid rules. Late starters can catch up with higher savings rates. The most important step is always the next one — start or continue today regardless of where you currently stand.